

23STCV20662 23STCV20662

County: los-angeles

Division: Civil Law and Motion

Department: 413

Hearing date: 2026-07-27

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Case Number: 23STCV20662 Hearing Date: July 27, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: 07/27/2026

CASE NUMBER: 23STCV20662

CASE NAME: SANTA ANITA CONVALESCENT HO... vs MILDRED DECASTRO, INC., A
C...

MOVING PARTY: Confirm award – Defendants

Mildred DeCastro and Mildred DeCastro, Inc. dba Synergy

Correct

award – Plaintiffs Santa Anita Convalescent Hospital & Retirement Center,
Inc.; 1100 South Alvarado Street, LLC; San Fernando Subacute Rehabilitation
Center, LLC; and Sylmar Health & Rehabilitation Center, Inc.

OPPOSING PARTY: Confirm award – Plaintiffs Santa

Anita Convalescent Hospital & Retirement Center, Inc.; 1100 South Alvarado
Street, LLC; San Fernando Subacute Rehabilitation Center, LLC; and Sylmar
Health & Rehabilitation Center, Inc.

Correct

award – Defendants Mildred DeCastro and Mildred DeCastro, Inc. dba Synergy

PROCEEDING: petition to confirm arbitration award; petition to correct
arbitration award

RULING

SUMMARY: Plaintiffs Santa Anita

Convalescent Hospital & Retirement Center, Inc.; 1100 South Alvarado Street, LLC dba Olympia Convalescent Hospital; San Fernando Subacute Rehabilitation Center, LLC dba Golden Legacy Care Center; and Sylmar Heath & Rehabilitation Center's Petition to Correct or, in the alternative, Vacate the Arbitrator's Award in Part is denied.

Defendants Mildred DeCastro and

Mildred DeCastro, Inc. dba Synergy Healthcare Resources & Solutions Group's Petition to Confirm Arbitrator's Award is granted.

Background

On August

29, 2023, plaintiffs Santa Anita Convalescent Hospital & Retirement Center, Inc. ("Santa Anita"); 1100 South Alvarado Street, LLC dba Olympia Convalescent Hospital ("Olympia"); San Fernando Subacute Rehabilitation Center, LLC dba Golden Legacy Care Center ("Golden Legacy"); and Sylmar Heath & Rehabilitation Center ("Sylmar," and collectively "Plaintiffs") filed their Complaint against defendants Mildred DeCastro ("DeCastro"); Mildred DeCastro, Inc. dba Synergy Healthcare Resources & Solutions Group ("Synergy"); and Estrella "Star" Choy ("Choy," and collectively "Defendants"), alleging four causes of action for (1) Breach of Written Consulting Service Agreements by Santa Anita, Olympia, and Golden Legacy against Synergy; (2) Breach of Quasi Contract by Plaintiffs against Synergy; (3) Breach of Fiduciary Duty by Plaintiffs against Choy; and (4) Aiding and Abetting Breach of Fiduciary Duty by Plaintiffs against Synergy and DeCastro.

Plaintiffs

alleged that they are healthcare facilities that provide skilled nursing, support care, and other healthcare services; that they approached Synergy and DeCastro in 2018 to see if they could provide consulting services; and that they entered into an agreement with Synergy. Plaintiffs further allege that, simultaneously, they were working with Golden State for legal, financial, accounting, human resources, and other support services and, in 2019, Choy became the Chief Operations Officer ("COO") of Golden State. Plaintiffs contend that Synergy overbilled for its services and that Choy knew rates were incorrect.

On

October 12, 2023, Defendants filed a Motion to Compel Arbitration, which was granted.

Arbitration

hearings were held, and an arbitration award was issued.

On May 7,

2026, Plaintiffs filed a Petition to Correct Arbitration Award, or in the alternative, to Vacate the Award in Part ("Petition to Correct"). On May 15, 2026, Defendants DeCastro and Synergy ("DeCastro Defendants") filed a Petition to Confirm Arbitration Award ("Petition to Confirm").

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Defendants filed their Opposition to the Petition to Correct on May 19, 2026. On May 28, 2026, Plaintiffs filed their Opposition to the Petition to Confirm.

On July

20, 2026, (1) Plaintiffs filed their Reply in support of their Petition to Correct, and (2) Defendants filed a Surreply to the Petition to Correct. On July 21, 2026, DeCastro Defendants filed an Objection to and Motion to Strike the unauthorized Surreply and concurrently filed request for judicial notice.

LEGAL STANDARD

A.

Petition to Confirm Arbitration
Award

"Any party to an arbitration in which an award has been made may petition the court to confirm, correct or vacate the award." (Code Civ. Proc., § 1285.) Such a petition must set forth the substance, or attach copies of: the arbitration agreement, award, and any written opinion. (Id., § 1285.4.) It must be served between ten days and four years from the date the award was served on the petitioner. (Id., §§ 1288 & 1288.4.) The other party may respond to the petition. (Id., § 1285.2.)

"If a petition or response under this chapter is duly served and filed, the court shall confirm the award as made, whether rendered in this state or another state, unless in accordance with this chapter it corrects the award and confirms it as corrected, vacates the award or dismisses

the proceeding." (Code Civ. Proc. § 1286.)

The court may not vacate or correct an award unless a petition or response requesting that the award be vacated or corrected has been duly served and filed. (Code Civ. Proc., §§ 1286.4 & 1286.8.)

"If an award is confirmed, judgment shall be entered in conformity therewith." (Code Civ. Proc. § 1287.4.)

B.

Petition to Correct Arbitration

Award

As noted above, "[a]ny party to an arbitration in which an award has been made may petition the court to confirm, correct or vacate the award. The petition shall name as respondent all parties to the arbitration and may name as respondents any other persons bound by the arbitration award." (Code Civ. Proc., § 1285.) "If a petition or response under this chapter is duly served and filed, the court shall confirm the award as made, whether rendered in this state or another state, unless in accordance with this chapter it corrects the award and confirms it as corrected, vacates the award or dismisses the proceeding." (Code Civ. Proc. § 1286.)

A court can only correct an arbitration award under limited circumstances, which include in pertinent part, if "(a) there was an evident miscalculation of figures or an evident mistake in the description of any person, thing or property referred to in the award; (b) The arbitrators exceeded their powers; or (c) the award is imperfect as a matter of form." (Code Civ. Proc. § 1286.6.)

A response to a Petition to Confirm Arbitration Award that seeks to vacate or correct the award must be served and filed no later than 100 days after the date of the service of a signed copy of the award on the respondent. (Code Civ. Proc. at § 1288.2.)

DISCUSSION

Both Plaintiffs' Petition to Correct

and Plaintiffs' Opposition to the Petition to Confirm are based upon the same issue: whether the arbitrator exceeded his jurisdiction by awarding attorneys' fees and costs based on the arbitration agreement.

The Court has not considered the reply or the surreply to the relevant motions, as they are not authorized by Code of Civil Procedure section 1290.

Both Petitions were timely filed under Code of Civil Procedure sections 1288, 1288.2, and 1288.4, as the award was served, at earliest, February 19, 2026 (Petition to Confirm at 9(a); Petition to Correct at Decl. Laurance M. Berman ¶ 16).

Plaintiffs have attached the relevant arbitration agreements which read:

13. Dispute Resolution and Arbitration.

Mediation. It is the intent of the parties to use all reasonable efforts to negotiate and resolve expeditiously any dispute, controversy or claim between them that may arise from time to time. The parties may, by mutual consent, retain a mediator to aid in any attempt to informally and confidentially negotiate resolution of any dispute, controversy or claim although any opinion expressed by a mediator is confidential and strictly advisory and is not binding on the parties, nor is any opinion expressed by the mediator admissible in any arbitration proceedings. Cost of mediation is to be borne equally by the parties involved in the matter, except that each party is responsible for its own expenses. Mediation is not a prerequisite to a demand for arbitration.

Arbitration. Any disputes, controversies or claims arising under or relating to this

Agreement, except for injunctive relief due to breach or threatened breach of confidentiality provisions of Agreement or for payment of money due to SHRS Grp, must be settled exclusively by binding arbitration, which will be conducted in Orange County, California, unless the parties mutually agree upon another venue, in accordance with the American Health Lawyers Association Alternative Dispute Resolution Service Rules of Procedure for Arbitration, and judgment on the award rendered by the arbitrator may be

entered in any court having jurisdiction thereof. The parties will share equally all administrative charges and arbitrators' fees; however, each party is responsible for their own attorney fees and expenses.

(Berman Decl., Exhs. B-H, J § 13; Exhibit I § 16.)

Plaintiffs argue that the arbitrator exceeded his powers in concluding that he had authority to award fees under a general provision of the parties' contract—Section 14(g) [Attorney's Fees]—which states: "If either party brings a lawsuit to enforce any of the terms or conditions of this Agreement, the prevailing party in the lawsuit is entitled to recover costs and attorneys' fees in addition to any other relief to which it is entitled." Plaintiffs' argument is based on the arbitration provision in Section 13, which states, in pertinent part: "The parties will share equally all administrative charges and arbitrators' fees; however, each party is responsible for their own attorney fees and expenses." (Berman Decl., Exhs. B-H, J § 13; Exh. I § 16.) (See *id.* at § 14.)

DeCastro Defendants argue that an arbitration is a lawsuit for purpose of the fee-shifting provision and the arbitrator's interpretation is correct.

Courts interpret a contract so as to give effect to the mutual intention of the contracting parties at the time the contract was formed. (Civ. Code § 1636.) Courts: (1) ascertain intention solely from the written contract if possible, but it also considers the circumstances under which the contract was made and the matter to which it relates (Civ. Code §§ 1639, 1647); (2) consider the contract as a whole and interprets its language in context so as to give effect to each provision, rather than interpret contractual language in isolation (Civ. Code § 1641); and (3) interpret words in accordance with their ordinary and popular sense and, if the contractual language is clear and does not involve an absurdity, the plain meaning governs (Civ. Code §§ 1638, 1644).

The parties focus on the following cases:

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California Union Square L.P. v. Saks &

Co. LLC (2021) 71 Cal.App.5th 136 – Holding: (1) where general and specific provisions of a contract are inconsistent, the specific provision control (p. 143); (2) a contract provision that permits the recovery of fees in arbitration is broad enough to include fees in related judicial proceedings, including an appeal from the judgment confirming the award (p. 145); and (3) in a dispute regarding fair market rent pursuant to a lease where there was also an inconsistent clause in the miscellaneous provisions, the trial court did not err in denying appellant's motion for attorneys' fees incurred in judicial proceedings that were part of the process for determining fair market rent (p. 147).

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Taranow v. Brokstein (1982) 135

Cal.App.3d 662 – Where an agreement provided: (1) "Should any partner be forced to bring suit to enforce the terms of this partnership agreement, the prevailing partner shall be awarded his costs of suit incurred therein and his reasonable attorney's fees" and (2) "[i]n the event of a controversy or claim arising out of this agreement which cannot be settled by the partners or their legal representatives, it shall be settled by arbitration in accordance with the rules of the American Arbitration Association and judgment upon the award may be entered in any court having jurisdiction[.]" it was determined that the term "suit" embraced arbitration proceedings (p. 666) and the parties' intent was to avoid court litigation, and yet allow an award of fees for an attorney's services to the prevailing party when such services become necessary to resolve a dispute in the manner provided by the partnership agreement (p. 668).

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Tate v. Saratoga Savings & Loan Assn.

(1989) 216 Cal.App.3d 843 – This case held that the term "bring suit" is broad enough to include arbitration (p.856-57). The Court does not address this case further as the formula used in it has been disapproved by the Supreme Court in *Advanced Micro Devices, Inc. v. Intel Corp.* (1994) 9 Cal.4th 362.

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Ajida Technologies, Inc. v. Roos Instruments,

Inc. (2001) 87 Cal.App.4th 534 – Holding that a contract provision that permits the recovery of fees in arbitration is broad enough to include fees in related judicial proceedings, including an appeal from the judgment confirming the award (p. 552), and continuing authority may properly be drawn both from the parties' agreement to arbitrate their disputes and from the nature of the

remedy itself (p. 548-49).

Harris v. Sandro (2002) 96 Cal.App.4th

1310 – Where a contract both compels arbitration and awards attorneys' fees to the prevailing party in "litigation" arising out of the contract, the attorneys' fee provision applies to the arbitration as any other result would render the fee provision meaningless (p. 1314-15).

In determining whether an arbitrator's award exceeded the arbitrator's powers, the court must look to "whether the remedy chosen is rationally drawn from the contract as so interpreted." (Advanced Micro Devices, Inc. v. Intel Corp. (1994) 9 Cal.4th 362, 377 ("Advanced Micro Devices".))

As shown in the award issued by the arbitrator, the arbitrator made a determination of how the applicable agreement, including its arbitration clause and the fee provisions in that clause and in the agreement of which the clause was a part, should be interpreted. The arbitrator then applied that interpretation in awarding attorneys' fees. The California Supreme Court has instructed that a court's review of "remedies . . . looks not to whether the arbitrator correctly interpreted the agreement, but to whether the award is drawn from the agreement as the arbitrator interpreted it or derives from some extrinsic source." (Id. at 378 (emphasis original).) Even if this Court believed that the arbitrator "committed serious error" in his interpretation of the fee provisions in the agreement, that belief "does not suffice to overturn his decision." (Id.) Plaintiffs have not identified an "extrinsic source" that this Court would be compelled infer was the basis of the award, and, so, there is no ground on which to correct or vacate the award. (See id.)

For the reasons explained above, Plaintiffs' Petition to Correct is denied.

The Court turns next to the Petition to Confirm.

Code Civ. Proc. § 1285.4 requires a petition to confirm an arbitration award to set

forth or attach: (a) the arbitration agreement; (b) the names of the arbitrators; and (c) a copy of the award and any written opinion.

Here, DeCastro

Defendants have used Form ADR-106. The arbitration agreement identifies the name of the arbitrator (no. 6), the arbitration agreements are attached as Attachment 4(c), and the arbitration award is attached as Attachment 8(c).

Therefore,
the requirements of Code of Civil Procedure section 1285.4 have been met.

The

Petition to Confirm is subject to the service analysis above. The Court has discussed Plaintiffs' Opposition to the award, above. There are no grounds to correct the reward.

The Court

must confirm the award as made, unless it corrects or vacates the award, or dismisses the proceeding. (Code Civ. Proc. § 1286; Valsan Partners Limited Partnership v. Calcor Space Facility, Inc. (1994) 25 Cal.App.4th 809, 818.)

The Court finds that Defendants have established that the procedural requirements have been met and Plaintiffs' challenge has been addressed.

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Defendants' Petition to Confirm is granted.

Conclusion

Plaintiffs

Santa Anita Convalescent Hospital & Retirement Center, Inc.; 1100 South Alvarado Street, LLC dba Olympia Convalescent Hospital; San Fernando Subacute Rehabilitation Center, LLC dba Golden Legacy Care Center; and Sylmar Heath & Rehabilitation Center's Petition to Correct or, in the alternative, Vacate the Arbitrator's Award in Part is denied.

Defendants

Mildred DeCastro and Mildred DeCastro, Inc. dba Synergy Healthcare Resources & Solutions Group's Petition to Confirm Arbitrator's Award is granted.

Date: 07/27/2026 _____

William

E. Weinberger

Judge,

Los Angeles Superior Court